

complaint

Mr G is unhappy that Society of Lloyd's has declined a claim under his tenanted property insurance policy for fire damage.

background

Mr G owns a property which he has previously let out. In September 2017 he made a claim to Lloyd's. He said vandals had broken into his empty property and started a fire. Lloyd's appointed a loss adjuster to investigate the claim.

The loss adjuster found out that the property hadn't been occupied since November 2016. The policy was renewed in May 2017. Lloyd's said this meant Mr G's policy wasn't suitable for him because the property had been unoccupied for more than 60 days. It said it would treat the claim as if he'd had an alternative policy for unoccupied properties.

Lloyd's declined the claim under the policy for unoccupied properties. It said Mr G was in breach of a condition to notify it if there were any illegal occupiers in the property and another condition that there shouldn't be any refuse or waste materials at the property.

Mr G said he wasn't aware of these conditions but thought he hadn't been in breach of them anyway. He said the property had been secure. He also said the property was being refurbished and that's why there were items left in the property. The items left in the property weren't waste but furniture which had been moved downstairs so that he could make a start on decorating upstairs.

Lloyd's didn't change its decision to decline the claim. Mr G complained to this service.

I issued a provisional decision explaining why I was minded not to uphold the complaint. An extract from my provisional findings is set out below:

"Lloyd's has provided evidence that it would only have offered Mr G a policy for unoccupied properties if it had known on renewal that this property was or would be empty for more than 60 days. It wouldn't have offered him a tenanted policy. Since the alternative is that Mr G wouldn't have had any cover at all, I think Lloyd's acted reasonably by treating this claim as though it were one under a policy for unoccupied properties. I appreciate that Mr G wouldn't have been aware of the conditions relating to unoccupied properties which are different from those in his policy for tenanted properties. But that's not Lloyd's fault. If Mr G had made Lloyd's aware that the property was empty for refurbishment, he would have received a copy of the policy wording appropriate to him."

It's a condition of the unoccupied properties policy that:

'All refuse and waste materials are removed from the interior of the premises...'

According to the fire brigade report the fire started by someone (probably a child) lighting paper or cardboard in the living room. Lloyd's wrote to Mr G saying:

'Underwriters refer you to the debris at the scene and in particular the photographs which were taken at the time which clearly show that there was a large quantity of refuse and discarded timbers, waste products and plastic buckets as well as chipboard carcasses from a ripped out kitchen. Furthermore at first floor level there was also combustible paper materials littered across the floor most of which had burned.'

Mr G said these items were at the property because he was preparing to start refurbishing it. He said the kitchen units stored in the property hadn't been removed but were ones which were due to be fitted. I accept that might be the case. But having looked at the photos taken by the loss adjuster I think there was still a large amount of burnt rubbish in the rooms including pieces of timber, building debris and paper. In terms of volume there is far more than I think would be reasonable to expect solely in connection with refurbishment. So I think it's likely Mr G did breach the condition relating to rubbish.

Our approach to policy conditions is that if the breach doesn't materially affect the claim or disadvantage the insurer, then it shouldn't be relied upon to decline the claim.

In this case the waste papers were set alight. Because of that I think the breach of the security condition relating to waste was materially connected with the claim. I understand Mr G will be disappointed by the fact that he doesn't have insurance cover for a serious loss. But for the reason explained above, I'm satisfied that Lloyd's decision to decline the claim for non-compliance with this condition is fair and reasonable.

Only one condition needs to be breached to say that Lloyd's acted fairly in declining the claim. So I don't need to look at the other breach relied upon by Lloyd's or the related arguments Mr G has raised in defence."

In response Mr G made a number of points. In summary he said:

- by law an insurer must not refuse to meet a claim on the ground that it was given incorrect information unless the insured was fraudulent or negligent. Mr G said he'd been neither fraudulent nor negligent.
- Lloyd's wasn't entitled to rely on a breach of condition provided that the insured could show that non-compliance with the term could not have increased the risk of the loss.
- he'd intended to reuse the items which Lloyd's loss adjuster thought were waste. The papers were good quality books and comics that he'd intended to give to charity.
- the fire had been started deliberately by intruders and regardless of the items in the property, it was built of materials that would have caught fire.
- Lloyd's should pay the claim unless it could prove he was connected to the arson.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Lloyd's hasn't declined Mr G's claim on the ground that he gave it incorrect information. So I don't need to look at whether Mr G was fraudulent or negligent.

It declined the claim on the ground that Mr G had breached two conditions. One condition was that there shouldn't be any refuse or waste materials at the property. This condition is essentially a risk control measure on the part of Lloyd's. Arson often occurs in unoccupied buildings. Insurers understandably may consider it important to remove, so far as practicable, materials that burn easily and are available in the building to an opportunist arsonist. So I think this condition was relevant to the loss (fire damage) for which Mr G was claiming. It is very different from, say, breach of a condition to install a burglar alarm when the claim is for flood damage. If Mr G had complied with this condition, it might have reduced

the risk of the property being damaged by fire, not least as any fire that did occur would most likely not have spread as far or as fast.

The property had been unoccupied for almost a year by the time of the fire. I think that was more than enough time for Mr G to remove anything he didn't want to keep. Lloyd's described the inside of the building as "*heavily loaded with building debris, rubbish, and loose combustible materials*". From looking at the photos I think that's a fair description. There may well have been some items that could have been used to refurbish the property. But I can also see in the photos items such as car tyres and a large amount of loose papers. Some rooms were crammed full of items which looked as though they'd been discarded because of the way they were piled up untidily. I accept that not everything in the property may have been waste but I think there were certainly some refuse and waste materials at the property. That means Mr G was in breach of the condition in the policy.

The official fire report stated that the first item set alight was paper or cardboard and the amount of material in the property caused the fire to spread. So I don't think Lloyd's treated Mr G unfairly in treating breach of this condition as something which increased the risk of damage by fire.

Lastly Mr G has referred me to an article in which the writer (an insurance expert) expressed the view that "*Unless it can be proven that the insured was connected to the arson, insurers cannot refuse to pay out.*" This is in the context of insurers refusing to pay out in some cases where they suspect that the insured has caused the fire. That's not an issue in this case since it's accepted that the fire was caused by third parties not connected with Mr G. In any event this doesn't override any other policy conditions on which an insurer relies to decline a claim.

Unfortunately for Mr G, I remain of the view that Lloyd's acted reasonably in declining his claim.

my final decision

I do not uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr G to accept or reject my decision before 18 July 2019.

Elizabeth Grant
ombudsman